# EVERYTHING MONEY FOUNDATIONAL METRICS

- To get the most out of the videos we release, it is essential that we share a common foundational understanding of some key metrics we discuss. This is important whether you are a brand-new investor or a seasoned investor. Your skill level in investing does not matter. What matters is that we are speaking the same language, or at least that you understand the metrics I look at and what they mean.
- I will explain everything here in simple language that anyone can understand.
- One thing to keep in mind is that no single metric is going to tell you enough about a company to make an investment decision. You have to be able to get an idea of what is going on based on the metrics you see, and it can help guide you to ask the right questions so that you can understand the company better.

## Market Cap (Market Capitalization)

- Market capitalization is very simply the amount of money it would take to buy every share that is currently outstanding at the current market price. On the income statement, towards the bottom, our data will show you how many shares outstanding the company has, and the market cap takes that number and multiplies it by the current market price. This is the price to buy the company and take it completely private as of that moment's market price.

## Revenue (TTM)

- This is the Trailing Twelve Months of revenue. It takes the revenue over the past four quarters from the income statement, adds them together, and lists them here. Remember, this will be different than their "Annual Revenue" because the annual revenue is based on their fiscal year, which can vary from company to company. This does not care when the fiscal year is. It merely adds up the total revenue from each of the last four reported quarters.

## Net Income (TTM)

- This is the Trailing Twelve Months of Net Income. Similar to TTM for Revenue, it does not take into account the fiscal year. It merely cares about the last four reported quarters and what the net income was on the income statement.

## 5 YR Avg Net Income

- This calculates the average of the last 20 quarters (5 years) of net income from the income statement. The reason we have this below-net income is to compare and see if there was a significant discrepancy in the last twelve months. For example, if a company generated $1 billion over the previous twelve months and the 5-year average was $ 200 million, one would have to wonder about the following: Is the recent jump sustainable? Is the jump based on a one-time event?
- And if the recent twelve-month net income were significantly lower than the five-year average, you would have to ask the same questions.
- It helps tell a story and lets you know what to do for a deeper dive if you are interested in the company.

## P/E (TTM)

- The trailing twelve-month Price to Earnings ratio: It takes the market capitalization and divides it by the trailing twelve-month net income. The Price-to-Earnings Ratio is a popular tool for getting a general idea of how "expensive" or "inexpensive" a stock may be, but it does not tell the whole story.
- A low P/E does not necessarily mean a stock is cheap, and a high P/E does not necessarily mean a stock is expensive. If two companies are the same in every way and have the same P/E, except one can grow its earnings by 20% per year for 10 years and the other can grow its earnings by 5% per year for 10 years, which one is cheaper? The one with 20% growth. You should pay a premium for companies that can grow their revenue and profit at a higher rate, all things being equal.
- This is a very common topic we have on the channel as we analyze companies.

## 5 Year P/E

- This is similar to the P/E (TTM), except it compares the current market capitalization to the average net income over the last five years. If there is a significant difference between the one-year P/E and the five-year P/E, then it indicates a substantial change in net income over the past five years, and I want to understand why that is. Look at Nvidia, for example. During their fiscal year ending January 31, 2021, they reported $4 billion in net income. In the fiscal year ending January 31, 2025, they generated $ 73 billion. Eighteen times more net income! As of June 24, 2025, their P/E was 47, while their 5-year P/E was 130.
- You will see that this 5-year P/E is higher than the TTM P/E because that would likely mean that earnings are growing.

## PS Ratio

- Price to Sales Ratio. It takes the market capitalization of the company and divides it by Revenue (TTM). This is a great way of comparing companies within the same industry. Companies within the same industry will have similar profit margins, and if you see ones with very different Price to Sales ratios, you must ask the question of why they differ. Is one operating differently that gives them the ability to generate profit more efficiently? Is one growing faster than the other, so do they deserve a premium over the others in the industry?

## Profit Margin

- Profit margin is the net income over the previous 12 months divided by the revenue over the previous 12 months. It's an important metric because it will show how much of their revenue is converted to profit. It's also great to compare companies within the same industry to see why one may be more efficient than the others. And it can help you decide which companies deserve a premium versus ones that should be discounted.
- The profit margin is the profit after all overhead and income taxes, and everything needed to operate the business from an accounting standpoint. This should not be confused with free cash flow.

## 5-Year Profit Margin

- This merely takes the profit margin over the past five years and gives you the average. Just like the other five-year metrics, our goal is to use this as a comparison over the previous 12 months to see if the business has fundamentally changed in the last five years. Has the profit margin gotten significantly better? Has it gotten worse? Is the business very consistent and stable, and does the profit margin stay the same? All of these questions and the answers to them will help guide you in determining which companies deserve a premium in valuation and, also, what questions to ask as you do more research. Why did the profit margin change? If the company is saying their profit margins will increase in the next five years, but margins have stayed the same in the previous five years, what are they going to do differently to make that happen?

## Gross Profit Margin

- This is a metric I discuss a lot on the channel because it shows me how much profit the company makes on every extra $1 they generate in revenue. This is the profit before paying income taxes and overhead costs. It is the revenue minus the direct costs that were incurred to sell that extra $1 in revenue. If the company is a manufacturing business, it will include materials, labor to make/install the product, direct marketing costs, etc.
- The reason this metric is important is that companies with high gross margins can increase their overall profit margin a lot faster than companies with low gross margins. Software businesses, for example, typically have higher gross margins because once they have made the software, they just need to advertise it, because the costs of making one extra license are negligible. And that's why you can see software business profit margins increase over time, because they don't have to add a lot of overhead in order to sell more units.
- How much more does it cost Microsoft to have 10,000 more people using their Microsoft Office Online products? Probably pennies.
- Now, remember that companies with high gross margins will attract a lot of attention from competitors, so it is important to remember that you want to find companies with high gross margins and a stronghold on their customer base. This will make it harder for other companies to steal their high-margin business away from them.

## 3/5/10 Yr Compound Revenue Growth

- This takes the revenue from 3, 5, and 10 years ago and calculates what the growth rate has been since those dates to today. It's nice to see companies with solid growth rates, but you have to consider two things:

Are they growing organically? What I mean by that is, are they growing because they have created new products, new sales channels, or increased demand?

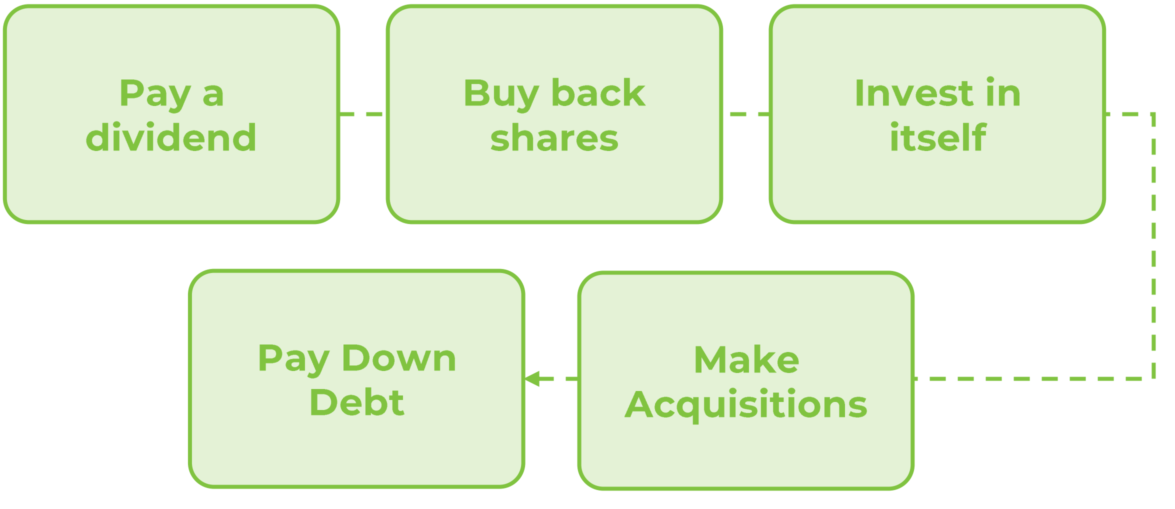
Or are they growing because of acquisitions? This is why we have the net acquisitions metric later in this PDF. We want to make sure the growth is more organic than because of acquisitions.

- Companies that don't need to make a lot of acquisitions to grow deserve more attention and should be treated differently from companies that must make acquisitions to grow.

- Another reason to watch these metrics is to see if growth is increasing, slowing, or staying steady. If the 10-year growth rate is larger than the 5-year and larger than the 3-year, it means growth is slowing. The opposite would show that growth is increasing. Either one should cause you to ask a question: what is causing the growth increase or decline?

## Free Cash Flow (TTM)

- Free cash flow differs from Net Income in terms of its calculation. In the long run, Free Cash Flow and Net Income should be the same, but in the short run, Net Income is highly affected by accounting rules and regulations.
- This calculation is the Free Cash Flow of the previous four quarters, no matter when the fiscal year starts or ends.
- Free cash flow is merely cash from operations minus your capital expenditures. The capital expenditures are what the company invests in fixed assets. A lot of times, it is property, plant, and equipment investments. For example, if Tesla wants to build a new factory, that would be capital expenditure. If Amazon wants to build a new distribution center, that would be capital expenditure.
- Free cash flow is the lifeblood of the business, and there are five main things a company can do with its free cash flow:




- If there is a big difference between Free Cash Flow and Net Income, you should ask why that is. You should be apprehensive and definitely do more research if Net Income is significantly higher than Free Cash Flow, especially on the five-year comparison.

## 5-Year Free Cash Flow

- This is the average for the last five years of free cash flow (20 quarters). In the same way that you would compare 5-year Net Income with the Trailing Twelve Months, you would do the same with Free Cash Flow. Why are they different? Why are they the same? You will hopefully see this 5-year Free Cash Flow lower than the TTM Free Cash Flow because that would most likely mean that Free Cash Flow is growing over time.

## Price to Free Cash Flow (TTM)

- Just like P/E, the Price to Free Cash Flow is calculated in the exact same way and should have the same observations and questions as the P/E. Except now, instead of Net Income, you are looking at Free Cash Flow.

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## Dividend Yield (TTM)/Dividends Paid

- The Trailing Twelve Month Dividend Yield will take the dividend paid out in the last 12 months and divide it by the current market capitalization. This will tell you that if the same dividend over the past 12 months were to be repeated, then, based on today's price, this would be your dividend yield.
- The dividends paid are merely the dividends that are paid out, as we see on the cash flow statement. You want to make sure the company can easily afford to pay its dividend. There is no "right" amount of dividends to be paid. Some companies pay out a majority of their cash flow in dividends, and those tend to be very mature companies with no reinvestment opportunities. Make sure that when you see the dividends paid, you compare them to the free cash flow over the past twelve months as well as the past five years. If the dividends paid are a very high percentage of the free cash flow (over 50%), you need to make sure it is something that they can afford, even if the business hits rocky times.

## Forward Dividend Yield

- This metric is the same as the current dividend yield, but now it looks at what the company is expecting to pay in the upcoming year and what that dividend yield would be based on today's market cap and stock price.

## Enterprise Value

- This is a great way to see what the company would cost if you were to buy the company's shares, pay off its debt, and assume its cash on hand. Essentially, this would be buying the company without debt OR cash in the bank. Just the operations of the business, essentially.
- This is a great number to look at to see, quickly, how much debt is on the books. On the rare occasion where you see a lower enterprise value than market cap, you are buying a company with practically no debt and A TON of cash on hand. It's hard for businesses that are in this situation to go broke quickly, or because of a bad economy. They have staying power because they don't have to worry as much about bank loans and the covenants (rules) on those loans.

## Return on Invested Capital (TTM and 5 year)

- Return on Invested Capital (ROIC) is one of the most important metrics to follow on a company. Companies that can generate high returns on their capital are showing investors that they are able to take their money and assets and make more and more money off of that. Companies that can do this can greatly increase their profits much faster. You should pay a PREMIUM for companies that can generate higher returns on capital.
- If two companies are the same, but one generates 8% return on its capital and another generates 16% returns on capital, assuming they can reinvest at those rates, the first company takes 9 years to double its profits while the second company can do it in 4.5 years.
- Fast forward 20 years, and the second company with 16% returns on capital now generates 19.5X more profit (1.16 ^ 20) than they did in year 1, while the first company with 8% returns on capital has only increased their profit by 4.7X (1.08 ^ 20).

- Which one should you pay more for?
- A lot of investors will say that the higher the returns on capital, the bigger the moat as well. The hard part with larger companies with high returns on capital (Apple has 60% returns on capital) is that they don't have many reinvestment opportunities that can move the needle. Apple, for example, generates $100B in cash flow each year, but it cannot invest $100B each year to increase its profit by $60B ($100B X 60% ROIC).
- When comparing the trailing twelve months (TTM) to the 5-year ROIC, it's nice to see that the TTM number is higher than the 5-year ROIC. It means that as time goes on, the company is doing an even better job of returning on its capital.

## Total 5Yr Net Acquisitions

- When we were discussing revenue growth earlier, I mentioned Acquisitions. When I see revenue growth numbers, I then want to see how much the company has spent on acquisitions, net of sales, on companies to grow their business.
- If the revenue growth rate is low and acquisitions are high, it shows me that the company is not able to naturally/organically grow its business naturally or organically. They are having to acquire companies to grow, and that should be a red flag.
- Using Apple as an example again, their revenue growth in the past 3, 5, and 10 years has been 1.22%, 8.36%, and 6.56% respectively. And their 5Yr Net Acquisitions have only been $1.52B. Keep in mind, $1.52B is a lot of money, BUT not for Apple, which does $400B in revenue. The acquisition number needs to be looked at in relation to the company's current size. $1.52B may be insane for one company and a drop in the bucket for another.

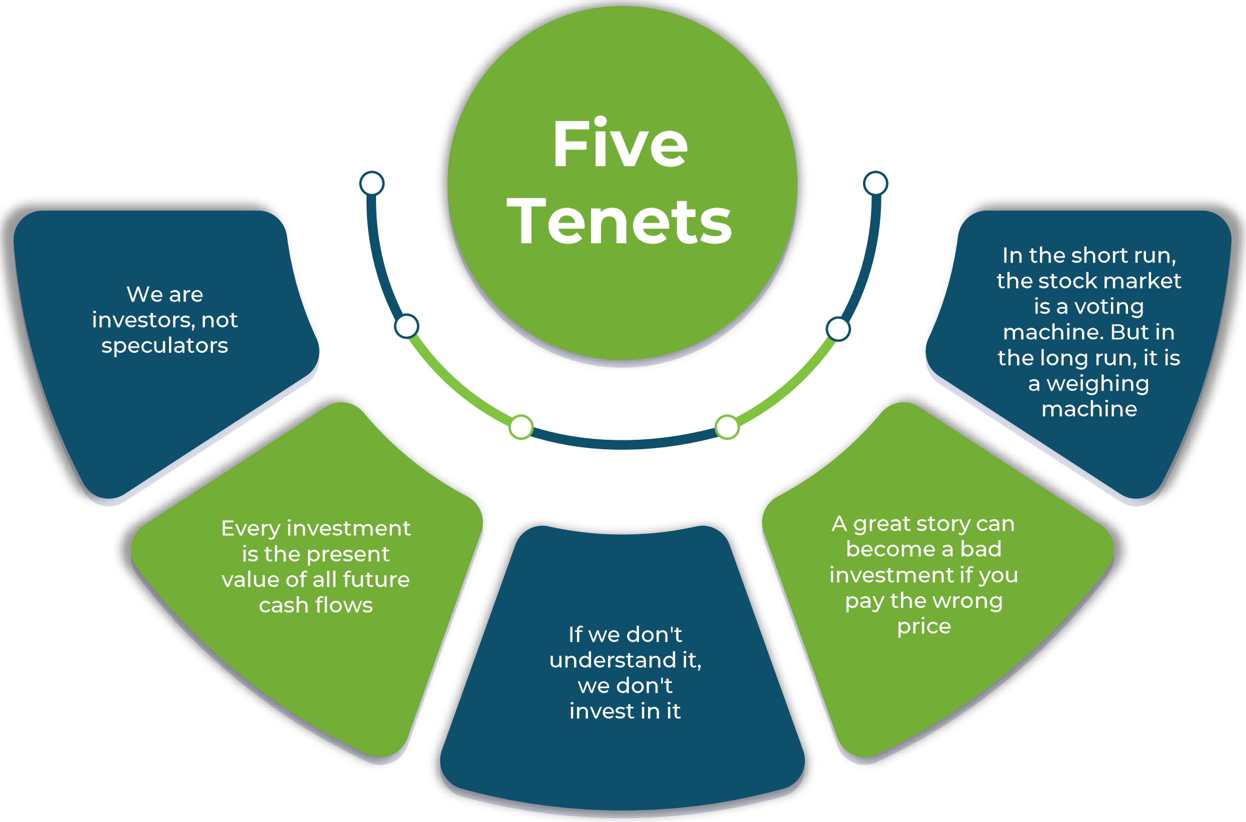
## How to Execute the Foundations of Value Investing Alongside the Five Tenets

- I've said it before and I'll say it again: investing isn't complicated—but it is hard. Why? Because it requires discipline, patience, and a willingness to ignore the noise. If you truly want to become a market-beating value investor, it starts with two things:

**Understanding The Foundational Metrics**

**Living By The Five Tenets Of Principle-driven Investing**

- Start by learning the key financial metrics—revenue growth, profit margins, free cash flow, return on invested capital, and more. These are the building blocks of evaluating a business. Study them, understand how they flow together, and—most importantly—learn how they connect to valuation. Numbers don't lie, but you have to know how to read them.
- Then, embed the Five Tenets into your DNA:




- Execution means putting these into practice every single time you analyze a company. This is where the Everything Money tools come in. They help you cut through the hype and stay focused on what matters—intrinsic value, margin of safety, and the fundamentals.
- Stay sharp by staying engaged. Watch the videos. Ask questions in the community. Surround yourself with like-minded investors who are committed to principle over hype. Every rep makes you better, every analysis builds the muscle.
- **Remember:** this isn't just about making money—it's about doing it the right way with a margin of safety. And... that's how you become a great investor.

**— Paul**

## Invitation to become a principle-driven investor

- At Everything Money, we don't care how great a business is... We are not paying just any price for a stock. In fact, that's not how real investors build wealth. You need to understand the business, understand the valuation, and have a system that works, regardless of what the market is doing.
- Paul, 20 years ago, was a lot like the new investors we see in today's market. I'd chase stocks, follow tips, get caught up in the hype... hoping something would stick. That's not investing. That's gambling.
- That's precisely why we created Everything Money — to give all the people who are like me 20 years ago the tools, strategy, and community I needed. Joining EM gets you access to our software and a private group of serious, like-minded investors who aren't guessing anymore.
- But let me be clear — we don't want you to join if you're the kind of person who jumps from one shiny thing to the next, looking for a quick fix. If you're not willing to put in the time, follow the process, and stick with it, this isn't for you. We're building a community of committed investors who are in it for the long haul.
- If that's you, start your 7-day trial right now. Click the link below.

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- Please note that spots are limited each day, and we cannot guarantee how long the trial will remain open.
- If you're serious, now's the time.